

Q: How should accounts like MSMEs and retail be handled, considering the high volumes?

A: The use of tech is crucial, particularly in the case of MSMEs and retail. Without tech that can provide an end-to-end solution, the task of resolving MSME and retail loans becomes extremely challenging. Therefore, ARC's need to build capabilities in this area. RBI is also urging ARC's to develop their tech systems. For example, banks used to submit CRILC (Central Repository of Information on Large Credits) data to the RBI. CRILC data refers to any account with an exposure of more than ₹5 crore, which had to be submitted at regular intervals to the RBI. But, RBI is now retrieving that data directly from the banks' systems. Similarly, it is asking ARC's to develop a system so that reporting can be picked up directly by RBI from the ARC's systems. This approach reflects the belief that the risk of altering or tampering with data is significantly higher in manual systems but much lower in tech-based or digital ones.

Q: Which retail assets would interest ARC's?

A: In the case of secured loans, the pricing will definitely be higher than for unsecured loans. However, other factors such as ticket size, geography, age of the borrower, and vintage of the NPA also play a role. Performing manual calculations would be extremely challenging, which is why tech is critical in dealing with retail and MSME loans. For secured loans, one has the right under the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act to sell properties through auction. The auction may result in either success or failure, but if successful, you recover the money. The threat of losing their property might pressure borrowers to settle.

In the case of unsecured loans, making contact is a major challenge. Tech, such as data scrubbing from credit information companies like CIBIL, can provide updated contact information for borrowers. This data scrubbing can significantly increase contactability from, say, 5-10% to 65-70%. As contactability improves, so does the probability of recovery. The recovery process can then proceed through various tech channels. The first might be SMS. The system tracks the number of text messages sent and determines how many failed to reach the recipients. Based on this data, it will decide which accounts should receive IVR calls. Further filtering identifies which accounts warrant physical calls or field agent visits. This systematic, scientific approach strengthens recovery efforts for unsecured loans. But, the acquisition price for unsecured loans, particularly credit cards in the retail segment, will be the lowest.



Q: Is the retail resolution market shifting to organised players like ARC's?

A: It's a commercial world, so whoever offers a reasonable price, banks or lenders will want to sell to them. If ARC's quote a low price, over time, they might be seen as too conservative. However, the standing and market reputation of the ARC's are also considered. There have been instances where ARC's have demonstrated unique approaches. If banks, particularly those in the public sector, decide to sell, they might face scrutiny over their choice. Therefore, the market reputation of ARC's matters, and their abilities in resolution processes are evaluated. According to RBI's October 2022 circular, when we make an offer to any seller, we must provide our track record of security receipts (SR) redemption. Without the appropriate tech, providing this track record would be impossible. Thus, the entire ARC ecosystem is evolving. In my assessment, with these developments and tighter regulations, which are beneficial for the ecosystem, there may be a consolidation of ARC's. Currently, there are 29 ARC's. By 2026, the minimum net-owned funds required will increase from ₹100 crore to ₹300 crore, and for RAs, it is expected to reach ₹1,000 crore. These changes will push for the consolidation of ARC's.

Q: Is ARC's monetising NCLT cases for lenders a new thing?

A: We saw this opportunity in one case where we collaborated with a strategic investor, whose name I will not disclose. They were interested in a specific asset